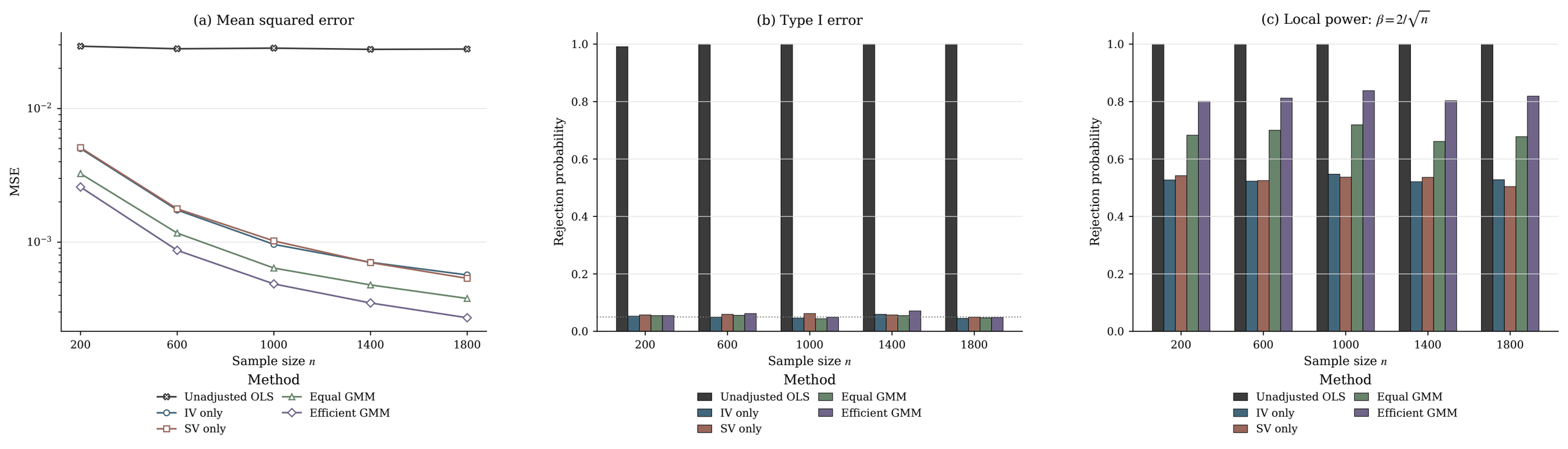
(a) Mean squared error
MSE
10^{-2}
10^{-3}
200
600
1000
1400
1800
Sample size n
(b) Type I error
Rejection probability
0.0
0.2
0.4
0.6
0.8
1.0
200
600
1000
1400
1800
Sample size n
(c) Local power: $\beta = 2/\sqrt{n}$
Rejection probability
0.0
0.2
0.4
0.6
0.8
1.0
200
600
1000
1400
1800
Sample size n
Method
Unadjusted OLS
IV only
SV only
Equal GMM
Efficient GMM